## 1. Unorganised Money Market

Before the Government started the organised development of the money market in India, its unorganised form had its presence since the ancient times—its remnant is still present in the country in its same form. Their activities are not regulated like the organised money market. The unorganised money market in India may be divided into three differing categories:

## (i) Unregulated Non-Bank Financial Intermediaries

***Unregulated Non-Banking Financial Intermediaries*** are functioning in the form of ***chit funds, Nidhis*** (operate in South India which lend to only their members) and loan companies. They charge very high interest rates (i.e. 36 to 48 per cent per annum) thus are exploitative in nature and have selective reach in the economy.

## (ii) Indigenous Bankers

***Indigenous Bankers*** receive deposits and lend money in individual or private firms' capacity. There are basically four such bankers in the country functioning individually as non-homogenous groups:

(a) ***Gujarati Shroffs*** They operate in Mumbai, Kolkata as well as industrial, trading and port cities in the region.

(b) ***Multani or Shikarpuri Shroffs*** They operate in Mumbai, Kolkata, Assam tea gardens and North Eastern India.

(c) ***Marwari kayas*** They operate mainly in Gujarat with a little bit of presence in Mumbai and Kolkata.

(d) ***Chettiars*** They are active in Chennai and at the ports of southern India.

## (iii) Money Lenders

They constitute the most localised form of money market in India and operate in the most exploitative way. They have their two forms: